

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents and Third-Party
Complainants*

v.

SAMSUNG ELECTRONICS COMPANY, LTD., *Third-Party
Respondent.*

DOCKET NO. 24-17

Served: August 18, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge.*

**ORDER GRANTING IN PART AND DENYING IN PART JOINT MOTION FOR APPROVAL OF
CONFIDENTIAL SETTLEMENT AGREEMENT AND MUTUAL RELEASE AND GRANTING
CERTIFICATE OF INTERLOCUTORY APPEAL**

On July 21, 2026, Complainant Samsung Electronics of America, Inc. (“SEA”) and Respondents, Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL”) filed a Joint Motion for Approval of Confidential Settlement Agreement and Mutual Release (“Motion”) along with a copy of the confidential settlement agreement.

As discussed below, the Motion is **GRANTED IN PART** to the extent the parties request that the settlement agreement be kept confidential. Although I generally find the settlement agreement unobjectionable, due to the issues I discuss below, the Motion is **DENIED IN PART** without prejudice to the extent the parties ask me to approve of the settlement agreement. Further, I *sua sponte* **GRANT** a certificate of interlocutory appeal under 46 C.F.R. § 502.221.

Finally, on August 17, 2026, SEA filed a Motion to Dismiss the Amended Complaint with Prejudice (“MTD”), asking for its own Verified Amended Complaint (“VAC”) and attorneys’ fee petition to be withdrawn in light of the settlement agreement. In light of the discussion below, it is **DENIED** as moot.

I. BACKGROUND

By way of background, SEA's VAC alleges that OOCL allegedly violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and (15), "by failing to perform and by delaying performance of inland transportation obligations on 'store door' shipments, and other acts and omissions that resulted in damages, such as unreasonable costs, demurrage and detention charges, and delay. Complainant sought approximately \$16,300,000 in reparations for those injuries." (Motion, at 2).

OOCL filed a counterclaim against SEA and a third-party complaint against Samsung Electronics Company, Ltd ("SEC"). The counterclaim and third-party complaint were both eventually dismissed. (*See* Order Granting Complainant's Motion to Dismiss Respondents' Amended Counterclaim and Third-Party Respondent's Amended Motion to Dismiss the Amended Third-Party Complaint). Both SEA and SEC filed petitions for attorney's fees, which I denied. (*See* Order Denying Third-Party Respondent's Petition for an Award of Attorneys' Fees, Denying Complainant's Petition for Attorneys' Fees, and Denying Complainant's Motion to Supplement Its Petition for Attorney Fees (the "March 20 Order")). SEA and SEC both appealed my March 20 Order. The fee petition appeals are both currently pending before the Commission.

In the Motion, the SEA and OOCL represent that they seek to resolve this matter by means of a settlement agreement. (Motion, at 2-4). A copy of the settlement agreement was provided to me by the parties for approval, which I reviewed. The parties ask for confidential treatment of the settlement agreement. (Motion, at 5-6). As discussed below, I would approve of the settlement agreement but for the problems identified.

II. DISCUSSION OF AGREEMENT

But for the issues discussed under Section III below, I would otherwise approve of the settlement agreement.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where "time, the nature of the proceeding, and the public interest permit." (46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c)). If dismissal is sought due to a settlement by the parties, "the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." (46 C.F.R. § 502.72(a)(3)). "Unless the order states otherwise, a dismissal under this paragraph is without prejudice." (46 C.F.R. § 502.72(a)(3)).

The Commission has a strong and consistent policy of "encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid." (*Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)); *see also Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981)).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in

contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

(*Old Ben Coal*, 18 S.R.R. at 1092 (quoting 15A Am. Jur. 2d *Compromise and Settlement* § 3 (1976))).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” (*Old Ben Coal*, 18 S.R.R. at 1092). However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” (*Old Ben Coal*, 18 S.R.R. at 1093). “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” (*Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted)).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” (*APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004))).

In the Motion, the parties state:

In this action, the Parties, both sophisticated corporate entities, with the advice and assistance of their respective counsel, jointly engaged James Kleiner, an experienced mediator, to facilitate settlement discussions and arrived at the Agreement through arm’s length negotiations and support this joint motion along with the relief that it seeks. The Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Agreement is a fair and reasonable resolution of the disputes between the Parties and reflects their desire to resolve their issues without the need for costly and uncertain litigation and resolves all outstanding matters relating to this proceeding.

(Motion, at 4).

Based on the representations in the Motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy, or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions with a mediator. The proceeding would require potentially expensive additional discovery and briefing. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, I would approve of the settlement but for the issues described below.

III. PROBLEMS WITH SETTLEMENT AGREEMENT

The settlement agreement is between SEA and OOCL. (Motion, at 2). SEC is not a party to the settlement agreement. (Motion, at 2). But, the settlement agreement “would conclusively resolve the pending proceeding, including the pending appeals filed by” SEA and SEC. (Motion, at 2). In other words, the Motion asks me to approve of a settlement agreement that purports to affect the rights of a non-party to the settlement. It is unclear how the settlement agreement can resolve SEC’s fee petition litigation even though SEC is not a party to the settlement agreement. At the very least, I need assurance that SEC (which has asserted during this litigation that it is an independent entity from SEA (*see, e.g.*, Third Party Respondent’s Motion to Dismiss Third Party Complaint, at 10-11)), agrees to be bound by the settlement agreement (*e.g.*, SEC can approve directly, or by acknowledging SEA as its agent in relation to this settlement agreement) before I can determine that it can be bound by the settlement agreement.

In addition, I may lack the authority to approve of a settlement agreement that would resolve the entire litigation, including the portion of the litigation that is currently before the Commission. A settlement of the SEA and the SEC fee petitions, which are pending before the Commission, may be more appropriately reviewed by the Commission. Once SEA and SEC appealed my March 20 Order, that order was rendered inoperative *until the Commission determines the matter*. (46 C.F.R. § 502.227(a)(5) (*emphasis added*)). As the settlement agreement purports to resolve a matter that I have no jurisdiction over, I may not have the authority to approve that portion of the settlement agreement.

For these reasons, the Motion is **DENIED** without prejudice.

IV. CERTIFICATION OF INTERLOCUTORY APPEAL

As noted, one of the complications in this matter is that part of the proceeding is before me, whereas part of it is before the Commission. It would be most efficient for the entire matter to be before the same adjudicator. In general, rulings of the presiding officer may not be appealed prior to or during the course of the hearing, or subsequent thereto, if the proceeding is still before him or her, “except where the presiding officer finds it necessary to allow an appeal to the Commission to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.” (46 C.F.R. § 502.221(a)).

Here, I find that it would potentially cause substantial delay and expense for this matter to continue before me. Accordingly, I *sua sponte* **GRANT** a certificate of interlocutory appeal. (46 C.F.R. § 502.221(c)). That way the entire matter, both SEA’s claims in the VAC, as well as the

appeal of the fee petition denials, will be pending before the Commission. Further, the parties may ask the Commission to supplement the record to clarify whether SEC will be bound by the settlement agreement, and whether SEC agrees to the dismissal of its fee petition appeal.

This matter is **STAYED** pending the interlocutory appeal. (46 C.F.R. § 502.221(d)).

V. CONFIDENTIALITY OF SETTLEMENT AGREEMENT

The parties request that the settlement agreement be kept confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. (46 C.F.R. § 502.5(b); *see also* 46 C.F.R. § 502.141(j)). The Commission stated that it “requires more formality and clarity, including a motion explaining the need for confidential treatment” and “good cause demonstrating that the information is a trade secret or other confidential research, development, or commercial information.” (*Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), 2024 WL 5054939, at *1 (FMC Dec. 4, 2024)).

Here, the parties request confidentiality, stating that the agreement “is the result of confidential commercial negotiations between the parties, and the parties therefore respectfully request leave to file the Agreement under seal for review and approval, and that the Agreement thereafter continue to be afforded confidential treatment by the FMC.” (Motion at 5).

I reviewed the settlement agreement, and it is available to the Commission. Given the parties’ request for confidentiality, confidential information included in the settlement agreement, and the Commission’s history of permitting agreements settling private complaints to remain confidential, the parties’ request for confidentiality for the settlement agreement is granted. The settlement agreement will be maintained in the Secretary’s confidential files.

VI. CONCLUSION

Upon consideration of the Motion and the settlement agreement, it is hereby:

ORDERED that the Motion is **DENIED** without prejudice to the extent it asks me to approve of the settlement. It is

FURTHER ORDERED that the Motion is **GRANTED** to the extent it seeks confidential treatment of the settlement agreement. It is

FURTHER ORDERED that I *sua sponte* **GRANT** a certificate of interlocutory appeal. It is

FURTHER ORDERED that this matter is **STAYED** pending the interlocutory appeal. It is

FURTHER ORDERED that the MTD is **DENIED** as moot.

Richard C.

Ambrow Jr -S

Digitally signed by
Richard C. Ambrow Jr -S

Date: 2026.08.18
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Richard Ambrow
Administrative Law Judge